



# UNDERSTANDING REPO RATES AND ITS EFFECTS ON THE STOCK MARKET

50 Nifty 50 Index • 5 • NSE

I can summarize the whole strategy in one line – Buy the Nifty 50 index whenever the RBI cuts the Repo Rate and go short when it hikes rates. You can buy the index through derivatives.

> Swipe to BUY

RBI cuts the repo rates

> Swipe to SELL

RBI hikes the repo rates

The rules you need to keep in mind are:

## 1 Follow Repo Rate Reports

Follow the latest Repo Rate update after every RBI monetary policy review that happens every 2 months.

## 2 Buy Nifty

If the RBI has lowered the Repo Rate compared to previous monetary policy, buy the Nifty 50 index at closing price on the day of announcement.

## 3 Sell Nifty

If the RBI has hiked the Repo Rate compared to previous monetary policy, sell the Nifty 50 index at closing price on the day of announcement.

## 4 Hold for a Month

Hold your trade till one month. Book your profits/loss at the end of one month.

I do not keep a specific target or stoploss levels as far as this setup is concerned. This setup will turn profitable over a course of time so keep this in mind while using it.